

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 4072

By: Caldwell (Trey) and Kane of
the House

and

Hall and Haste of the
Senate

10 COMMITTEE SUBSTITUTE

11 An Act related to public finance; creating the
12 Taxpayer Endowment Trust Fund Act; authorizing
13 certain reference; announcing legislative intent;
14 defining terms; creating the Taxpayer Endowment Trust
15 Fund; establishing revolving fund characteristics;
16 requiring interest and income be retained by the
17 trust fund; providing for administration, management,
18 and oversight of the trust fund; requiring certain
19 investment standards; requiring diversification of
20 investments and other risk management efforts;
21 providing exception; authorizing delegation of
22 certain authorities; limiting delegation by certain
23 standard; defining scope of investment authority;
24 authorizing certain actions by the State Treasurer
 related to employment and contracting; making efforts
 subject to certain approval; requiring the
 establishment of guidelines and investment policies;
 exempting certain contracting from the Oklahoma
 Central Purchasing Act; requiring certain written
 process; requiring certain administrative support be
 provided; limiting administrative support;
 authorizing certain reimbursements from certain
 assets; requiring investments follow a written policy
 including certain goals; requiring delivery of policy
 and modifications of such policy to certain entities
 following certain timelines; requiring the publishing
 of annual reports under manner and timelines;

1 requiring certain elements be included in report;
2 limiting utilization and disposition of trust fund
3 assets; providing exceptions; requiring certain
4 computations, communications, and deposits of
5 distributable earnings under certain conditions;
6 establishing timeline for certain communications and
7 deposits; requiring certain action of the State Board
8 of Equalization; limiting the reduction of corpus;
9 amending 62 O.S. 2021, Section 34.102, which relates
10 to the Revenue Stabilization Fund; clarifying
11 terminology associated with fund deposits; amending
12 62 O.S. 2021, Section 34.103, as amended by Section
13 1, Chapter 307, O.S.L. 2025 (62 O.S. Supp. 2025,
14 Section 34.103), which relates to revenue
15 certification and apportionment by the State Board of
16 Equalization; modifying certain calculations and
17 apportionments; amending 62 O.S. 2021, Section 71.1,
18 as amended by Section 4, Chapter 308, O.S.L. 2025 (62
19 O.S. Supp. 2025, Section 71.1), which relates to the
20 Invest in Oklahoma Board; requiring the fulfillment
21 of certain duties; amending 62 O.S. 2021, Section
22 2402, as amended by Section 2, Chapter 308, O.S.L.
23 2025 (62 O.S. Supp. 2025, Section 2402), which
24 relates to public entities authorized to participate
in the Invest in Oklahoma Program; authorizing
participation by the Taxpayer Endowment Trust Fund;
modifying certain apportionments; amending 68 O.S.
2021, Section 1004, as last amended by Section 2,
Chapter 490, O.S.L. 2025 (68 O.S. Supp. 2025, Section
1004), which relates to the apportionment of proceeds
from the gross production tax on oil and natural gas;
modifying apportionments; adding apportionments;
amending 68 O.S. 2021, Section 2352, which relates to
the apportionment of proceeds from the income tax on
corporations; modifying apportionment and adding
apportionment; providing for severability; providing
for codification; providing an effective date; and
declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

1 SECTION 1. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 34.102A-1 of Title 62, unless
3 there is created a duplication in numbering, reads as follows:

4 A. Sections 1 through 5 of this act shall be known and may be
5 cited as the "Taxpayer Endowment Trust Fund Act".

6 B. 1. The Legislature finds that Oklahoma's long-term economic
7 growth and fiscal stability are best served by policies that promote
8 savings, investment, and reduced reliance on income taxation;

9 2. The Legislature further finds that states with an abundance
10 of energy resources that preserve and grow a portion of those
11 revenues through investments enjoy lower taxes and budget stability;

12 3. Establishing a sovereign wealth fund enables states to
13 convert public funds into a permanent financial asset that generates
14 long-term investment income for public purposes;

15 4. It is therefore the intent of the Legislature to create a
16 trust fund that produces a significant and sustainable revenue
17 stream, preserves and protects its principal, and over time,
18 provides taxpayer relief by replacing income tax revenue through the
19 power of recurring investment and compounding interest;

20 5. The trust fund should provide a means of conserving a
21 portion of the state's revenues, especially driven by energy
22 resources, to benefit all generations of Oklahomans;

23 6. The trust fund should work in concert with efforts to reduce
24 and eliminate income tax;

1 7. The trust fund's performance goal should seek market returns
2 during the fund's growth phase lockout period; and

3 8. After the lockout phase, the trust fund's performance goal
4 should be to maintain safety of principal while maximizing the total
5 return.

6 SECTION 2. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 34.102A-2 of Title 62, unless
8 there is created a duplication in numbering, reads as follows:

9 As used in the Taxpayer Endowment Trust Fund Act:

10 1. "Appreciation" means any increase in the value of assets
11 held in the Trust Fund;

12 2. "Board" means the Invest in Oklahoma Board as established in
13 Section 71.1 of Title 62 of the Oklahoma Statute, or its successor;

14 3. "Corpus" means the principal of the Trust Fund;

15 4. "Distributable earnings" means an amount that equals up to
16 four percent (4%) of the immediately preceding five-year average
17 fiscal-year end asset valuation of the Trust Fund, as determined by
18 the Board;

19 5. "Earnings" means all income derived from the investment of
20 monies in the Trust Fund including but not limited to income,
21 earnings, interest, and investment returns;

22 6. "Trust Fund" means the Taxpayer Endowment Trust Fund;
23
24

1 7. "Interest" means income earned from the investment of funds
2 in interest-bearing instruments, including but not limited to bonds,
3 notes, and other fixed-income securities; and

4 8. "Initial deposit" means the first transfer of funds into the
5 Trust Fund as provided by law.

6 SECTION 3. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 34.102A-3 of Title 62, unless
8 there is created a duplication in numbering, reads as follows:

9 A. There is hereby created in the State Treasury a trust fund
10 to be known and designated as the "Taxpayer Endowment Trust Fund".
11 The members of the Invest in Oklahoma Board shall be considered
12 trustees of the fund. The fund shall be a continuing fund, not
13 subject to fiscal year limitations, and shall consist of all monies
14 directed for deposit to the fund pursuant to legal transfers,
15 apportionments, or appropriations, as well as any interest or
16 investment income derived from such deposits. All monies accruing
17 to the credit of the said fund are hereby appropriated and may be
18 utilized in accordance with the provisions of the Taxpayer Endowment
19 Trust Fund Act.

20 B. Notwithstanding any provision of law to the contrary, all
21 interest and income derived from deposits to the Taxpayer Endowment
22 Trust Fund, shall be credited to the Trust Fund.
23
24

1 SECTION 4. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 34102A-4 of Title 62, unless
3 there is created a duplication in numbering, reads as follows:

4 A. The Taxpayer Endowment Trust Fund shall be administered,
5 managed, and overseen by the Invest in Oklahoma Board, with
6 administrative assistance provided by the State Treasurer and any
7 other individual or entity designated by the Board. The Board shall
8 invest the assets of the Trust Fund with the care, skill, prudence,
9 and diligence under the circumstances then prevailing that a prudent
10 investor acting in a like capacity and familiar with such matters
11 would use in the conduct of an enterprise of a like character and
12 with like aims. Additionally, the Board shall diversify the
13 investments of the Trust Fund so as to minimize the risk of large
14 losses, unless under the circumstances it is clearly prudent not to
15 do so. The Board may take or delegate all actions reasonably
16 necessary to administer, manage, and protect the Trust Fund but only
17 in a manner that meets the standard provided in this subsection.

18 B. Notwithstanding the provisions of Section 89.2 of Title 62
19 of the Oklahoma Statutes, the Board may invest and reinvest assets
20 of the Trust Fund in any manner not prohibited by law, including but
21 not limited to real property assets, stock, and other equity
22 investments.

23 C. Subject to Board approval, the State Treasurer shall:
24

1 1. Employ or contract for the services of professional
2 custodians, consultants, and managers of the assets of the Trust
3 Fund, including legal counsel as needed;

4 2. Establish investment and fund management guidelines; and

5 3. Adopt an investment policy.

6 D. The contracting for services described in paragraph 1 of
7 subsection C of this section shall be exempt from the Oklahoma
8 Central Purchasing Act, but shall be conducted by the State
9 Treasurer under a written process approved by the Board.

10 E. The State Treasurer shall provide administrative support to
11 the Board as needed; provided such support does not exceed that of
12 two (2) full-time equivalent employees employed by the State
13 Treasurer.

14 F. The State Treasurer may seek reimbursement, and the Board
15 may reimburse from Trust Fund assets, the expenses incurred by the
16 State Treasurer's Office for the performance of the duties assigned
17 by this act to the State Treasurer.

18 SECTION 5. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section 34.102A-5 of Title 62, unless
20 there is created a duplication in numbering, reads as follows:

21 A. Investments of Taxpayer Endowment Trust Fund assets by the
22 Board shall be made in accordance with written policies developed by
23 the Board. The written investment policies shall prioritize:

1 1. Generating long-term investment income for public purposes;
2 and

3 2. Preserve and protect the Trust Fund's principal while
4 maximizing the Trust Fund's total return;

5 The written investment policies shall be designed to maximize
6 yield within each class of investment instrument, consistent with
7 the safety of the assets invested.

8 B. 1. Not later than July 1, of each year, the Board shall
9 forward a copy of the written investment policy to the Governor, the
10 Speaker of the Oklahoma House of Representatives, the President Pro
11 Tempore of the Oklahoma State Senate, and the State Treasurer. The
12 State Treasurer shall maintain one copy of the investment policy in
13 the Office of the State Treasurer for public inspection during
14 regular business hours. Copies of any modifications made by the
15 Board to the investment policy shall be forwarded to the Governor,
16 Speaker of the Oklahoma House of Representatives, the President Pro
17 Tempore of the State Senate, and the State Treasurer;

18 2. Not later than November 1, of each year, the Board through
19 the efforts of the State Treasurer, shall publish an annual report
20 on the State Treasurer's website, including the Trust Fund's
21 financial statements, statements of receipts and disbursements
22 related to trust fund assets and investment activities during the
23 period, relevant market value appraisals of assets, comparisons of
24 Trust Fund performance to internal benchmarks, a summary of

1 investment activity during the period, and any other information the
2 Board deems of interest to the public.

3 SECTION 6. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 34.102A-6 of Title 62, unless
5 there is created a duplication in numbering, reads as follows:

6 A. Except for the reimbursement of the State Treasurer as
7 allowed under the provisions of this act, no monies of any kind,
8 including but not limited to earnings, interest, or appreciation,
9 shall be appropriated from the Taxpayer Endowment Trust Fund prior
10 to:

11 1. The state fiscal year following an end-of-year valuation of
12 the Trust Fund that exceeds One Billion Dollars (\$1,000,000,000.00);
13 or

14 2. The expiration of the ten-year period following the initial
15 deposit to the Trust Fund.

16 B. Following the occurrence of a condition established in
17 subsection A of this section, the Board shall:

18 1. No later than November 30 of each year, communicate to the
19 State Board of Equalization the amount of distributable earnings
20 available from the Trust Fund as calculated pursuant to the
21 conditions of the Trust Fund in effect June 30 of such year. Such
22 earnings shall be certified by the State Board of Equalization as
23 General Revenue for the then forthcoming state fiscal year; and
24

1 2. On July 1, deposit an amount equal to the amount certified
2 by the State Board of Equalization pursuant to paragraph 1 of this
3 subsection to the General Revenue Fund. Such deposit shall occur
4 July 1 of the state fiscal year for which the funds are certified.

5 C. Except as allowed or required by the provisions of this
6 section the corpus of the Trust Fund shall not be reduced.

7 SECTION 7. AMENDATORY 62 O.S. 2021, Section 34.102, is
8 amended to read as follows:

9 Section 34.102. A. There is hereby created in the State
10 Treasury a revolving fund to be known and designated as the "Revenue
11 Stabilization Fund". The fund shall be a continuing fund, not
12 subject to fiscal year limitations.

13 B. For determinations made regarding deposits for fiscal years
14 beginning on or after July 1, 2019, no monies shall be deposited to
15 the credit of the Revenue Stabilization Fund until such time as the
16 amount of actual revenue certified by the State Board of
17 Equalization as having been deposited into the General Revenue Fund
18 for the first fiscal year prior to the beginning of the fiscal year
19 that deposits to the Revenue Stabilization Fund are first made
20 equals or exceeds Six Billion Six Hundred Million Dollars
21 (\$6,600,000,000.00).

22 C. Once the provisions prescribed by subsection B of this
23 section have been met, deposits to the Revenue Stabilization Fund as
24 prescribed by this section may be made during any subsequent fiscal

1 year according to the requirements and limitations imposed by this
2 act; provided that no deposits shall be made during a fiscal year
3 where the State Board of Equalization General Revenue Fund
4 certification for said fiscal year is less than the State Board of
5 Equalization General Revenue Fund certification for the previous
6 fiscal year plus an increment equal to the amount otherwise
7 calculated for deposit pursuant to subsection E of this section.

8 D. Notwithstanding any other provisions of this section, unless
9 such deposits are the result of a direct appropriation to the
10 Revenue Stabilization Fund by the Legislature, no monies shall be
11 deposited to the credit of the Revenue Stabilization Fund:

12 1. For any month during a fiscal year after the month during
13 which the declaration of a revenue failure pursuant to the
14 provisions of Section 34.49 of this title has been made. For
15 purposes of this subsection, the limitation on deposits to the
16 Revenue Stabilization Fund shall be imposed for the remaining months
17 of the fiscal year during which the revenue failure was declared,
18 but shall not operate as a limitation upon deposits for any
19 subsequent fiscal year unless a revenue failure is declared at some
20 time during such fiscal year; or

21 2. That would cause deposits to the Revenue Stabilization Fund
22 for the fiscal year to exceed three percent (3%) of the State Board
23 of Equalization General Revenue Fund certification for that fiscal
24 year.

1 E. Except as provided in subsection I of this section, the
2 Revenue Stabilization Fund shall ~~consist of~~ receive as deposits:

3 1. ~~One hundred percent (100%)~~ Seventy-five percent (75%) of the
4 revenue derived from the gross production tax on oil levied pursuant
5 to Section 1001 of Title 68 of the Oklahoma Statutes which is in
6 excess of the five-year average computed as prescribed by Section
7 34.103 of this title;

8 2. ~~One hundred percent (100%)~~ Seventy-five percent (75%) of the
9 revenue derived from the gross production tax on natural gas levied
10 pursuant to Section 1001 of Title 68 of the Oklahoma Statutes which
11 is in excess of the five-year average computed as prescribed by
12 Section 34.103 of this title;

13 3. Seventy-five percent (75%) of the revenue derived from
14 corporate income tax levied pursuant to Section 2355 of Title 68 of
15 the Oklahoma Statutes which is in excess of the five-year average
16 computed as prescribed by Section 34.103 of this title; and

17 4. Any amounts appropriated by the Legislature.

18 F. 1. Except as provided in paragraph 2 of this subsection, in
19 the event that a revenue failure is declared with respect to the
20 General Revenue Fund pursuant to Section 34.49 of this title, the
21 Director of the Office of Management and Enterprise Services may
22 withdraw up to one-quarter (1/4) of the balance of the Revenue
23 Stabilization Fund available at the beginning of the fiscal year,
24 provided the total amount withdrawn shall not exceed the amount of

1 the declared revenue failure, to in equal proportions reduce or
2 avoid reductions to agencies for the current fiscal year and to
3 mitigate potential reductions of funds to be expended by common
4 school districts which were appropriated or authorized by the
5 Legislature, but excluding any funds which are apportioned directly
6 to common school districts.

7 2. For the fiscal year ending June 30, 2020, in the event that
8 a revenue failure is declared with respect to the General Revenue
9 Fund pursuant to Section 34.49 of this title, the Director of the
10 Office of Management and Enterprise Services may withdraw amounts up
11 to a total of one-half (1/2) of the highest balance during the
12 fiscal year ending June 30, 2020, of the Revenue Stabilization Fund;
13 provided, the total amount withdrawn shall not exceed the amount of
14 the declared revenue failure less any appropriations made by the
15 Legislature to offset such revenue failure, to in equal proportions
16 reduce or avoid reductions to agencies for the fiscal year and to
17 mitigate potential reductions of funds to be expended by common
18 school districts which were appropriated or authorized by the
19 Legislature for the fiscal year ending June 30, 2020, but excluding
20 any funds which are apportioned directly to common school districts.
21 No monies shall be withdrawn under the provisions of this subsection
22 for the purpose of reducing or avoiding reductions of appropriations
23 made pursuant to Section 129 of Enrolled House Bill No. 2765 of the
24 1st Session of the 57th Oklahoma Legislature or Section 1 of

1 Enrolled Senate Bill No. 1076 of the 1st Session of the 57th
2 Oklahoma Legislature.

3 G. In the event that a revenue failure is declared with respect
4 to the General Revenue Fund pursuant to Section 34.49 of this title,
5 the Legislature may appropriate up to one-quarter (1/4) of the
6 balance of the Revenue Stabilization Fund available at the beginning
7 of the fiscal year, not to exceed the amount of the revenue failure
8 as declared with respect to the General Revenue Fund pursuant to
9 Section 34.49 of this title.

10 H. If the amount of revenue certified by the State Board of
11 Equalization at its February meeting in any year to be collected in
12 the General Revenue Fund for the upcoming fiscal year is less than
13 the amount of revenue certified by the State Board of Equalization
14 to be collected in the General Revenue Fund for the current fiscal
15 year as determined at its February meeting conducted in the
16 preceding calendar year, the Legislature may appropriate up to one-
17 half (1/2) of the balance of the Revenue Stabilization Fund
18 available at the beginning of the fiscal year; provided, that the
19 amount withdrawn shall not exceed the amount of the decline in
20 revenue certified.

21 I. If during the Board of Equalization certification process,
22 one or more of the revenue sources identified in paragraphs 1, 2,
23 and 3 of subsection E of this section are forecasted to experience a
24 revenue decrease, then the total deposits to the Revenue

1 Stabilization Fund as otherwise calculated under subsection E of
2 this section shall be reduced in an amount equal to such revenue
3 decreases. For purposes of this subsection, "revenue decrease"
4 means an identified revenue source derived in an amount less than
5 the five-year average for such revenue source.

6 SECTION 8. AMENDATORY 62 O.S. 2021, Section 34.103, as
7 amended by Section 1, Chapter 307, O.S.L. 2025 (62 O.S. Supp. 2025,
8 Section 34.103), is amended to read as follows:

9 Section 34.103. A. In addition to any other duties prescribed
10 by law, at the meeting required by Section 23 of Article X of the
11 Oklahoma Constitution to be held in February of 2017, and at the
12 February meeting of the State Board of Equalization each year
13 thereafter, the State Board of Equalization shall certify:

14 1. For the revenue derived from the tax levied on oil pursuant
15 to Section 1001 of Title 68 of the Oklahoma Statutes, which would
16 otherwise be apportioned to the General Revenue Fund, the average
17 annual amount of actual revenue apportioned to the General Revenue
18 Fund for the immediately preceding five (5) complete fiscal years.
19 For any year after the first year during which a deposit to the
20 Revenue Stabilization Fund is made, the amount of any deposit to the
21 Revenue Stabilization Fund shall be disregarded for purposes of this
22 paragraph and the average shall be computed using the total amount
23 of revenue that was available to be apportioned to the General
24 Revenue Fund for the applicable period of time;

1 2. For the revenue derived from the tax levied on natural gas
2 pursuant to Section 1001 of Title 68 of the Oklahoma Statutes, which
3 would otherwise be apportioned to the General Revenue Fund, the
4 average annual amount of actual revenue apportioned to the General
5 Revenue Fund for the previous five (5) fiscal years. For any year
6 after the first year during which a deposit to the Revenue
7 Stabilization Fund is made, the amount of any deposit to the Revenue
8 Stabilization Fund shall be disregarded for purposes of this
9 paragraph and the average shall be computed using the total amount
10 of revenue that was available to be apportioned to the General
11 Revenue Fund for the applicable period of time; and

12 3. For the revenue derived from the corporate income tax levied
13 pursuant to Section 2355 of Title 68 the Oklahoma Statutes, which
14 would otherwise be apportioned to the General Revenue Fund, the
15 average annual amount of actual revenue apportioned to the General
16 Revenue Fund for the previous five (5) fiscal years. For any year
17 after the first year during which a deposit to the Revenue
18 Stabilization Fund is made, the amount of any deposit to the Revenue
19 Stabilization Fund shall be disregarded for purposes of this
20 paragraph and the average shall be computed using the total amount
21 of revenue that was available to be apportioned to the General
22 Revenue Fund for the applicable period of time.

23 B. If the amount of revenue available for apportionment to the
24 General Revenue Fund for the next ensuing fiscal year exceeds the

1 amounts certified pursuant to ~~paragraph~~ paragraphs 1 or, 2, or 3 of
2 subsection A of this section, with respect to each such revenue
3 source, ~~one hundred percent (100%)~~ seventy-five percent (75%) of
4 such amount in excess of the separately computed five-year average,
5 which would otherwise be apportioned to the General Revenue Fund,
6 shall be deposited to the credit of the Revenue Stabilization Fund.

7 C. If the amount of revenue available for apportionment to the
8 General Revenue Fund for the next ensuing fiscal year exceeds the
9 amount certified pursuant to ~~paragraph~~ paragraphs 1, 2, or 3 of
10 subsection A of this section:

11 ~~1. Twenty-five percent (25%) of such amount in excess of the~~
12 ~~five-year average, which would otherwise be apportioned to the~~
13 ~~General Revenue Fund, shall be deposited to the credit of the~~
14 ~~Constitutional Reserve Fund unless such deposit would exceed the~~
15 ~~maximum balance permitted pursuant to Section 23 of Article X of the~~
16 ~~Oklahoma Constitution and in such case the amount in excess of the~~
17 ~~maximum balance shall be deposited to the credit of the Revenue~~
18 ~~Stabilization Fund; and~~

19 ~~2. Seventy-five percent (75%) of such amount in excess of the~~
20 ~~five-year average, which would otherwise be apportioned to the~~
21 ~~General Revenue Fund, shall be deposited to the credit of the~~
22 ~~Revenue Stabilization Fund, together with any amount required for~~
23 ~~deposit pursuant to the provisions of paragraph 1 of this subsection~~
24 , with respect to each such revenue source, twenty-five percent

1 (25%) of such amount in excess of the separately computed five-year
2 average, which would otherwise be apportioned to the General Revenue
3 Fund, shall be deposited to the credit of the Taxpayer Endowment
4 Trust Fund created by Section 3 of this act.

5 D. 1. As used in this subsection and as used in subsection D
6 of Section 2355 of Title 68 of the Oklahoma Statutes:

- 7 a. "base year total collections" means the amount of
8 revenue certified by the State Board of Equalization
9 at its December meeting and includes all revenue
10 sources reported in the annual report of the Oklahoma
11 Tax Commission excluding any tax collected by the
12 Commission from levies imposed by counties, cities,
13 towns or any other entity of local government, which
14 for purposes of implementation of any income tax rate
15 reductions otherwise authorized by this act shall be
16 the highest preceding total collections amount as
17 defined by subparagraph b of this paragraph. For
18 purposes of reporting total collections for purposes
19 of this subsection, the Oklahoma Tax Commission shall
20 use the same methodology used to report estimated
21 revenues to the State Board of Equalization that was
22 used to make the report for the December 2024 meeting,
- 23 b. "highest preceding total collections" means the
24 largest amount of revenue reported for any single

1 fiscal year prior to the immediately preceding full
2 fiscal year, determined by the State Board of
3 Equalization at its December meeting and including all
4 revenue sources reported in the annual report of the
5 Oklahoma Tax Commission excluding any tax collected by
6 the Commission from levies imposed by counties,
7 cities, towns or any other entity of local government.
8 For purposes of reporting total collections for
9 purposes of this subsection, the Oklahoma Tax
10 Commission shall use the same methodology used to
11 report estimated revenues to the State Board of
12 Equalization that was used to make the report for the
13 December 2024 meeting,

14 c. "income tax rate reduction threshold" means the amount
15 of revenue determined by the Oklahoma Tax Commission
16 for twelve (12) months comprising a single tax year
17 predicted to be foregone as a result of any reduction
18 in income tax rates pursuant to the provisions of this
19 act, including the provisions of subsection D of
20 Section 2355 of Title 68 of the Oklahoma Statutes
21 multiplied by the number one and twenty-five
22 hundredths (1.25). The income tax rate reduction cost
23 threshold shall not be less than the amount of revenue
24 loss attributable to a reduction in the income tax

1 rates for the previous fiscal year and shall not be
2 greater than such revenue loss for the previous fiscal
3 year multiplied by the number one and twenty-five
4 hundredths (1.25), and

5 d. "comparison year total collections" means the amount
6 of revenue determined by the State Board of
7 Equalization at its December meeting for the
8 immediately preceding fiscal year and includes all
9 revenue sources reported in the annual report of the
10 Oklahoma Tax Commission excluding any tax collected by
11 the Commission from levies imposed by counties,
12 cities, towns or any other entity of local government.
13 For purposes of reporting total collections for
14 purposes of this subsection, the Oklahoma Tax
15 Commission shall use the same methodology used to
16 report estimated revenues to the State Board of
17 Equalization that was used to make the report for the
18 December 2024 meeting.

19 2. In addition to any other duties prescribed by law, at the
20 meeting required by Section 23 of Article X of the Oklahoma
21 Constitution to be held in December of 2026, and at the December
22 meeting of the State Board of Equalization each year thereafter, the
23 State Board of Equalization shall make a preliminary certification:
24

- 1 a. and report the base year total collections, the income
2 tax rate reduction threshold, and the comparison year
3 total collections,
- 4 b. if the comparison year total collections amount
5 exceeds the base year total collections amount plus
6 the income tax reduction cost threshold, the tax rates
7 otherwise prescribed pursuant to subsection D of
8 Section 2355 of Title 68 of the Oklahoma Statutes
9 shall be reduced according to the provisions of
10 Section 2355 of Title 68 of the Oklahoma Statutes and
11 any reduction in such rates shall become effective on
12 the January 1 date following the final February
13 certification by the State Board of Equalization that
14 an income tax rate reduction is authorized by the
15 provisions of this act, and
- 16 c. with respect to all subsequent meetings of the Board,
17 the Board shall make a preliminary finding at its
18 December meeting each year and, if the requirements of
19 this act are fulfilled, the State Board shall make a
20 final determination at its February meeting each year
21 whether the comparison year total collections exceeds
22 the base year total collections plus the income tax
23 reduction cost threshold, and a reduction in the
24 income tax rates otherwise prescribed pursuant to

1 paragraphs 1 and 2 of subsection D of Section 2355 of
2 Title 68 of the Oklahoma Statutes shall be implemented
3 and any reduction in such rates shall become effective
4 on the January 1 date following the final February
5 certification by the State Board of Equalization that
6 an income tax rate reduction is authorized by the
7 provisions of this act.

8 3. In addition to any other requirements of this act for the
9 implementation of a reduction of individual income tax rates
10 pursuant to this subsection and pursuant to subsection E of Section
11 2355 of Title 68 of the Oklahoma Statutes, at the State Board of
12 Equalization meeting to be held in December 2026, the State Board
13 must certify that the revenues accruing to certified funds during
14 the first five and one-half (5 1/2) months of fiscal year ending
15 June 30, 2027, were within ninety-five percent (95%) of the estimate
16 made in February 2026, and no revenue failure was declared.

17 SECTION 9. AMENDATORY 62 O.S. 2021, Section 71.1, as
18 amended by Section 4, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025,
19 Section 71.1), is amended to read as follows:

20 Section 71.1. A. There is hereby created the Invest in
21 Oklahoma Board. The Board shall consist of five (5) members as
22 follows:

- 23 1. The Governor, or designee;
- 24 2. The Lieutenant Governor, or designee;

1 3. The State Treasurer, or designee;

2 4. An appointee of the Speaker of the House of Representatives
3 who shall serve at the Speaker's pleasure; and

4 5. An appointee of the President Pro Tempore of the Oklahoma
5 State Senate who shall serve at the President Pro Tempore's
6 pleasure.

7 B. The appointed and designated members shall have no direct or
8 indirect business relationship with the State Treasurer or the State
9 Treasurer's Office.

10 C. The Governor or Governor's designee shall serve as
11 chairperson.

12 D. The Board shall hold regular meetings not less than one per
13 quarter, and at such other times as it deems necessary for the
14 performance of its duties. The date, time and place of the meetings
15 shall be set by the chairperson. The State Treasurer shall provide
16 the administrative support required by the Board. The Board shall
17 be staffed by efforts under the control of the State Treasurer who
18 shall prepare all materials and information needed by the Board to
19 perform its duties and responsibilities. Meetings of the Board
20 shall be subject to the Oklahoma Open Meeting Act, and their records
21 shall be public records pursuant to the Oklahoma Open Records Act.

22 E. The Board shall develop a standardized and uniform reporting
23 system which the State Treasurer shall use to make the reports
24 required by Section 89.7 of this title. The Board shall prescribe

1 such forms in order to obtain an objective and accurate analysis of
2 the investment of state funds by the State Treasurer and to obtain
3 an accurate analysis of investment performance according to an
4 objective standard established by the Board. The Board shall not be
5 subject to the provisions of the Administrative Procedures Act for
6 purposes of developing the reporting system required by this
7 subsection. The Board shall review the reports prepared by the
8 State Treasurer pursuant to Section 89.7 of this title. The Board
9 shall review with the State Treasurer investment strategies and
10 practices and the development of internal auditing procedures and
11 practices. The Board shall review the reports submitted by the
12 State Treasurer and shall identify any event, transaction or trend
13 which the Board determines to represent a violation or potential
14 violation of law or public policy regarding the investment of state
15 funds. The Board shall specifically identify its concerns or
16 objections and shall communicate such concerns or objections in
17 writing to the State Treasurer.

18 F. The State Treasurer shall maintain a report available to
19 each member of the Board which specifically identifies entities with
20 whom or with which the State Treasurer has transacted business
21 related to investment of any state funds. Any person or entity to
22 whom or to which any form of compensation has been or will be paid
23 for services rendered to the State Treasurer's Office related to the
24 investment of state funds shall be identified in such report. Such

1 report shall also be available to the Director of the Office of
2 Management and Enterprise Services, the State Auditor and Inspector,
3 the Speaker of the House of Representatives, the President Pro
4 Tempore of the Senate and the Governor.

5 G. Members of the Board shall serve without compensation,
6 except for travel, pursuant to the State Travel Reimbursement Act,
7 to be paid by the appointing authority.

8 H. The Board shall establish and adopt investment parameters
9 related to investments in Oklahoma-based private equity funds,
10 venture capital funds, growth funds, and direct investments in
11 Oklahoma companies authorized under the Invest in Oklahoma program;
12 provided that by a unanimous vote of the Board such parameters may
13 be exceeded with regard to investments to the extent allowable under
14 the Oklahoma Constitution.

15 I. The Board shall exercise confirmation and approval authority
16 over the appointment and contractual relationships of qualified
17 investment advisors and fiduciary managers engaged by the State
18 Treasurer to assist in the selection of the investments authorized
19 under the Invest in Oklahoma program.

20 K. The Board shall fulfill the duties assigned to the Board
21 pursuant to the Taxpayer Endowment Trust Fund Act.

22 SECTION 10. AMENDATORY 62 O.S. 2021, Section 2402, as
23 amended by Section 2, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025,
24 Section 2402), is amended to read as follows:

1 Section 2402. The following public entities are encouraged to
2 and may invest up to five percent (5%) of their rolling three (3)
3 year assets under management with the Invest In Oklahoma Program
4 approved venture capital and growth funds as provided in Section 2
5 of this act:

6 1. The Board of Investors of the Tobacco Settlement Endowment
7 Trust Fund;

8 2. The Commissioners of the Land Office;

9 3. The Teachers' Retirement System of Oklahoma;

10 4. The Oklahoma Public Employees Retirement System;

11 5. The Oklahoma Firefighters Pension and Retirement System;

12 6. The Oklahoma Police Pension and Retirement System;

13 7. The Oklahoma Law Enforcement Retirement System;

14 8. The Uniform Retirement System for Justices and Judges; ~~and~~

15 9. The Department of Wildlife Conservation Retirement Fund; and

16 10. The Taxpayer Endowment Trust Fund.

17 B. The State Treasurer, acting within parameters established by
18 the Invest in Oklahoma Board is authorized to and may place cash
19 balance amounts in service with the Invest In Oklahoma program. For
20 purposes of this subsection, the term "cash balance amounts" shall
21 not include any monies deposited in or directed for deposit to:

22 1. The General Revenue Fund;

23 2. The Revenue Stabilization Fund;

24 3. The Education Reform Revolving Fund;

1 4. The Rate Preservation Fund;

2 5. Any Fund created under the Oklahoma Constitution;

3 6. Any fund from which the Legislature through law has
4 authorized, appropriated, or transferred monies within the preceding
5 three (3) fiscal years; or

6 7. Any revolving fund in the State Treasury specified for
7 direct appropriation or authorization from the Legislature, or any
8 revolving fund assigned to a state agency, unless such state agency
9 specifically authorizes such investments from such fund and such
10 authorization was approved by Invest in Oklahoma Board.

11 SECTION 11. AMENDATORY 68 O.S. 2021, Section 1004, as
12 last amended by Section 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp.
13 2025, Section 1004), is amended to read as follows:

14 Section 1004. A. As used in this section:

15 1. "Moving five-year average amount for gas" means, for
16 purposes of the apportionments prescribed by this section, the
17 amount of gross production tax on natural gas collected for each of
18 the five (5) complete fiscal years, as computed by the State Board
19 of Equalization pursuant to Section 34.103 of Title 62 of the
20 Oklahoma Statutes; and

21 2. "Moving five-year average amount for oil" means, for
22 purposes of the apportionments prescribed by this section, the
23 amount of gross production tax on oil collected for each of the five
24 (5) complete fiscal years, as computed by the State Board of

1 Equalization pursuant to Section 34.103 of Title 62 of the Oklahoma
2 Statutes.

3 B. Beginning July 1, 2017, the gross production tax provided
4 for in Section 1001 of this title is hereby levied and shall be
5 collected and apportioned as follows:

6 1. For all monies collected from the tax levied on asphalt or
7 ores bearing uranium, lead, zinc, jack, gold, silver or copper:

8 a. eighty-five and seventy-two one-hundredths percent
9 (85.72%) shall be paid to the State Treasurer of the
10 state to be placed in the General Revenue Fund of the
11 state and used for the general expense of state
12 government, to be paid out pursuant to direct
13 appropriation by the Legislature,

14 b. seven and fourteen one-hundredths percent (7.14%) of
15 the sum collected from natural gas and/or casinghead
16 gas or asphalt or ores bearing uranium, lead, zinc,
17 jack, gold, silver or copper shall be paid to the
18 various county treasurers to be credited to the County
19 Highway Fund as follows: Each county shall receive a
20 proportionate share of the funds available based upon
21 the proportion of the total value of production from
22 such county in the corresponding month of the
23 preceding year, and
24

1 c. seven and fourteen one-hundredths percent (7.14%)
2 shall be allocated to each county as provided for in
3 subparagraph b of this paragraph and shall be
4 apportioned, on an average daily attendance per capita
5 distribution basis, as certified by the State
6 Superintendent of Public Instruction to the school
7 districts of the county where such pupils attend
8 school regardless of residence of such pupil, provided
9 the school district makes an ad valorem tax levy of
10 fifteen (15) mills for the current year and maintains
11 twelve (12) years of instruction;

12 2. For all monies collected from the tax levied on natural gas
13 and/or casinghead gas at a tax rate of seven percent (7%) pursuant
14 to the provisions of subsection B of Section 1001 of this title:

15 a. after the total revenue apportioned to the General
16 Revenue Fund as prescribed by subparagraph b of this
17 paragraph equals the moving five-year average amount
18 for gas as defined by paragraph 1 of subsection A of
19 this section, there shall be apportioned from the
20 gross production tax levy imposed pursuant to Section
21 1001 of this title on natural gas and/or casinghead
22 gas:

23 (1) seventy-five percent (75%) to the Revenue
24 Stabilization Fund created by Section 34.102 of

1 Title 62 of the Oklahoma Statutes, the amount of
2 revenue, if any, which exceeds the moving five-
3 year average amount for gas as defined pursuant
4 to paragraph 1 of subsection A of this section,
5 and

6 (2) twenty-five percent (25%) to the Taxpayer
7 Endowment Trust Fund created by Section 3 of this
8 act, the amount of revenue, if any, which exceeds
9 the moving five-year average amount for gas as
10 defined pursuant to paragraph 1 of subsection A
11 of this section,

12 b. until the apportionment to the General Revenue Fund
13 equals the moving five-year average amount for gas as
14 prescribed by paragraph 1 of subsection A of this
15 section, eighty-five and seventy-two one-hundredths
16 percent (85.72%) shall be paid to the State Treasurer
17 of the state to be placed in the General Revenue Fund
18 of the state and used for the general expense of state
19 government, to be paid out pursuant to direct
20 appropriation by the Legislature,

21 c. before any other apportionment of revenue has been
22 made pursuant to this paragraph, seven and fourteen
23 one-hundredths percent (7.14%) of the sum collected
24 from natural gas and/or casinghead gas shall be paid

1 to the various county treasurers to be credited to the
2 County Highway Fund as follows: Each county shall
3 receive a proportionate share of the funds available
4 based upon the proportion of the total value of
5 production from such county in the corresponding month
6 of the preceding year, and

7 d. before any other apportionment of revenue has been
8 made pursuant to this paragraph, seven and fourteen
9 one-hundredths percent (7.14%) shall be allocated to
10 each county as provided for in subparagraph c of this
11 paragraph and shall be apportioned, on an average
12 daily attendance per capita distribution basis, as
13 certified by the State Superintendent of Public
14 Instruction to the school districts of the county
15 where such pupils attend school regardless of
16 residence of such pupil, provided the school district
17 makes an ad valorem tax levy of fifteen (15) mills for
18 the current year and maintains twelve (12) years of
19 instruction;

20 3. For all monies collected from the tax levied on natural gas
21 and/or casinghead gas at a tax rate of four percent (4%) pursuant to
22 the provisions of subsection B of Section 1001 of this title:

23 a. after the total revenue apportioned to the General
24 Revenue Fund as prescribed by subparagraph b of this

1 paragraph equals the moving five-year average amount
2 for gas as defined by paragraph 1 of subsection A of
3 this section, there shall be apportioned from the
4 gross production tax levy imposed pursuant to Section
5 1001 of this title on natural gas and/or casinghead
6 gas:

7 (1) seventy-five percent (75%) to the Revenue

8 Stabilization Fund created pursuant to Section
9 34.102 of Title 62 of the Oklahoma Statutes, the
10 amount of revenue, if any, which exceeds the
11 moving five-year average amount for gas as
12 defined pursuant to paragraph 1 of subsection A
13 of this section, and

14 (2) twenty-five percent (25%) to the Taxpayer

15 Endowment Trust Fund created by Section 3 of this
16 act, the amount of revenue, if any, which exceeds
17 the moving five-year average amount for gas as
18 defined pursuant to paragraph 1 of subsection A
19 of this section,

20 b. until the apportionment to the General Revenue Fund
21 equals the moving five-year average amount for gas as
22 prescribed by paragraph 1 of subsection A of this
23 section, seventy-five percent (75%) shall be paid to
24 the State Treasurer of the state to be placed in the

- 1 General Revenue Fund of the state and used for the
2 general expense of state government, to be paid out
3 pursuant to direct appropriation by the Legislature,
4 c. before any other apportionment of revenue has been
5 made pursuant to this paragraph, twelve and one-half
6 percent (12.5%) of the sum collected from natural gas
7 and/or casinghead gas shall be paid to the various
8 county treasurers to be credited to the County Highway
9 Fund as follows: Each county shall receive a
10 proportionate share of the funds available based upon
11 the proportion of the total value of production from
12 such county in the corresponding month of the
13 preceding year, and
14 d. before any other apportionment of revenue has been
15 made pursuant to this paragraph, twelve and one-half
16 percent (12.5%) shall be allocated to each county as
17 provided for in subparagraph c of this paragraph and
18 shall be apportioned, on an average daily attendance
19 per capita distribution basis, as certified by the
20 State Superintendent of Public Instruction to the
21 school districts of the county where such pupils
22 attend school regardless of residence of such pupil,
23 provided the school district makes an ad valorem tax
24

1 levy of fifteen (15) mills for the current year and
2 maintains twelve (12) years of instruction;

3 4. For all monies collected from the tax levied on natural gas
4 and/or casinghead gas at a tax rate of one percent (1%) pursuant to
5 the provisions of subsection B of Section 1001 of this title:

6 a. fifty percent (50%) of the sum collected from natural
7 gas and/or casinghead gas shall be paid to the various
8 county treasurers to be credited to the County Highway
9 Fund as follows: Each county shall receive a
10 proportionate share of the funds available based upon
11 the proportion of the total value of production from
12 such county in the corresponding month of the
13 preceding year, and

14 b. fifty percent (50%) shall be allocated to each county
15 as provided for in subparagraph a of this paragraph
16 and shall be apportioned, on an average daily
17 attendance per capita distribution basis, as certified
18 by the State Superintendent of Public Instruction to
19 the school districts of the county where such pupils
20 attend school regardless of residence of such pupil,
21 provided the school district makes an ad valorem tax
22 levy of fifteen (15) mills for the current year and
23 maintains twelve (12) years of instruction;

1 5. For all monies collected from the tax levied on natural gas
2 and/or casinghead gas at a tax rate of two percent (2%) pursuant to
3 the provisions of paragraph 3 of subsection B of Section 1001 of
4 this title:

5 a. after the total revenue apportioned to the General
6 Revenue Fund as prescribed by subparagraph b of this
7 paragraph equals the moving five-year average amount
8 for gas as defined by paragraph 1 of subsection A of
9 this section, there shall be apportioned from the
10 gross production tax levy imposed pursuant to Section
11 1001 of this title on gas:

12 (1) seventy-five percent (75%) to the Revenue
13 Stabilization Fund created by Section 34.102 of
14 Title 62 of the Oklahoma Statutes, the amount of
15 revenue, if any, which exceeds the moving five-
16 year average amount for natural gas and/or
17 casinghead gas as defined pursuant to paragraph 1
18 of subsection A of this section, and

19 (2) twenty-five percent (25%) to the Taxpayer
20 Endowment Trust Fund created by Section 3 of this
21 act, the amount of revenue, if any, which exceeds
22 the moving five-year average amount for natural
23 gas and/or casinghead gas as defined pursuant to
24 paragraph 1 of subsection A of this section,

- 1 b. until the apportionment to the General Revenue Fund
2 equals the moving five-year average amount for gas as
3 prescribed by paragraph 1 of subsection A of this
4 section, fifty percent (50%) shall be paid to the
5 State Treasurer to be placed in the General Revenue
6 Fund of the state and used for the general expense of
7 state government, to be paid out pursuant to direct
8 appropriation by the Legislature,
- 9 c. before any other apportionment of revenue has been
10 made pursuant to this paragraph, twenty-five percent
11 (25%) of the sum collected from natural gas and/or
12 casinghead gas shall be paid to the various county
13 treasurers to be credited to the County Highway Fund
14 as follows: Each county shall receive a proportionate
15 share of the funds available based upon the proportion
16 of the total value of production from such county in
17 the corresponding month of the preceding year, and
- 18 d. before any other apportionment of revenue has been
19 made pursuant to this paragraph, twenty-five percent
20 (25%) shall be allocated to each county as provided
21 for in subparagraph c of this paragraph and shall be
22 apportioned on an average daily attendance per capita
23 distribution basis, as certified by the State
24 Superintendent of Public Instruction, to the school

1 districts of the county where such pupils attend
2 school regardless of residence of such pupil, provided
3 the school district makes an ad valorem tax levy of
4 fifteen (15) mills for the current year and maintains
5 twelve (12) years of instruction;

6 6. For all monies collected from the tax levied on oil at a tax
7 rate of seven percent (7%) pursuant to the provisions of subsection
8 B of Section 1001 of this title:

9 a. there shall be apportioned from the gross production
10 tax levy imposed pursuant to Section 1001 of this
11 title on oil:

12 (1) seventy-five percent (75%) to the Revenue
13 Stabilization Fund created by Section 34.102 of
14 Title 62 of the Oklahoma Statutes, after the
15 applicable maximum amount prescribed by
16 subsection C of this section has been deposited
17 to the funds therein specified, the amount of
18 revenue, if any, which would otherwise be
19 apportioned to the General Revenue Fund and which
20 exceeds the moving five-year average amount for
21 oil as defined pursuant to paragraph 2 of
22 subsection A of this section, and
23 (2) twenty-five percent (25%) to the Taxpayer
24 Endowment Trust Fund created by Section 3 of this

1 act, after the applicable maximum amount
2 prescribed by subsection C of this section has
3 been deposited to the funds therein specified,
4 the amount of revenue, if any, which would
5 otherwise be apportioned to the General Revenue
6 Fund and which exceeds the moving five-year
7 average amount for oil as defined pursuant to
8 paragraph 2 of subsection A of this section,

9 b. before any other apportionment of revenue has been
10 made pursuant to this paragraph, twenty-five and
11 seventy-two one-hundredths percent (25.72%) shall be
12 paid to the State Treasurer to be placed in the Common
13 Education Technology Revolving Fund created in Section
14 34.90 of Title 62 of the Oklahoma Statutes,

15 c. before any other apportionment of revenue has been
16 made pursuant to this paragraph, twenty-five and
17 seventy-two one-hundredths percent (25.72%) shall be
18 paid to the State Treasurer to be placed in the Higher
19 Education Capital Revolving Fund created in Section
20 34.91 of Title 62 of the Oklahoma Statutes,

21 d. before any other apportionment of revenue has been
22 made pursuant to this paragraph, twenty-five and
23 seventy-two one-hundredths percent (25.72%) shall be
24 paid to the State Treasurer to be placed in the

- Oklahoma Student Aid Revolving Fund created in Section 34.92 of Title 62 of the Oklahoma Statutes,
- e. before any other apportionment of revenue has been made pursuant to this paragraph, three and seven hundred forty-five one-thousandths percent (3.745%) shall be distributed to the various counties of the state for deposit into the County Bridge and Road Improvement Fund of each county based on a formula developed by the Department of Transportation and approved by the Department of Transportation County Advisory Board created pursuant to Section 302.1 of Title 69 of the Oklahoma Statutes to be used for the purposes set forth in the County Bridge and Road Improvement Act. The formula shall be similar to the formula currently used for the distribution of monies in the County Bridge Program funds, but shall also take into consideration the effect of the terrain and traffic volume as related to county road improvement and maintenance costs,
- f. before any other apportionment of revenue has been made pursuant to this paragraph, four and twenty-eight one-hundredths percent (4.28%) shall be paid to the State Treasurer to be apportioned to:

(1) the following sources and in the following amounts through the fiscal year ending June 30, 2027:

(a) thirty-three and one-third percent (33 1/3%) to the Oklahoma Tourism and Recreation Department Capital Expenditure Revolving Fund created pursuant to Section 2254.1 of Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%) to the Oklahoma Conservation Commission Infrastructure Revolving Fund created pursuant to Section 3-2-110 of Title 27A of the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%) to the Community Water Infrastructure Development Revolving Fund created pursuant to Section 1085.7A of Title 82 of the Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic Action Plan Water Projects Fund for the fiscal year beginning July 1, 2027, and for each fiscal year thereafter,

g. before any other apportionment of revenue has been made pursuant to this paragraph, seven and fourteen

1 one-hundredths percent (7.14%) of the sum collected
2 from oil shall be paid to the various county
3 treasurers, to be credited to the County Highway Fund
4 as follows: Each county shall receive a proportionate
5 share of the funds available based upon the proportion
6 of the total value of production from such county in
7 the corresponding month of the preceding year,

8 h. before any other apportionment of revenue has been
9 made pursuant to this paragraph, seven and fourteen
10 one-hundredths percent (7.14%) shall be allocated to
11 each county as provided in subparagraph g of this
12 paragraph and shall be apportioned, on an average
13 daily attendance per capita distribution basis, as
14 certified by the State Superintendent of Public
15 Instruction, to the school districts of the county
16 where such pupils attend school regardless of
17 residence of such pupil, provided the school district
18 makes an ad valorem tax levy of fifteen (15) mills for
19 the current year and maintains twelve (12) years of
20 instruction, and

21 i. before any other apportionment of revenue has been
22 made pursuant to this paragraph, five hundred thirty-
23 five one-thousandths percent (0.535%) of the levy
24 shall be transmitted by the Oklahoma Tax Commission to

1 the Statewide Circuit Engineering District Revolving
2 Fund as created in Section 687.2 of Title 69 of the
3 Oklahoma Statutes;

4 7. For all monies collected from the tax levied on oil at a tax
5 rate of four percent (4%) pursuant to the provisions of subsection B
6 of Section 1001 of this title:

7 a. there shall be apportioned from the gross production
8 tax levy imposed pursuant to Section 1001 of this
9 title on oil:

10 (1) seventy-five percent (75%) to the Revenue
11 Stabilization Fund created by Section 34.102 of
12 Title 62 of the Oklahoma Statutes, after the
13 applicable maximum amount prescribed by
14 subsection C of this section has been deposited
15 to the funds therein specified, the amount of
16 revenue, if any, which would otherwise be
17 apportioned to the General Revenue Fund and which
18 exceeds the moving five-year average amount for
19 oil as defined pursuant to paragraph 2 of
20 subsection A of this section, and

21 (2) twenty-five percent (25%) to the Taxpayer
22 Endowment Trust Fund created by Section 3 of this
23 act, after the applicable maximum amount
24 prescribed by subsection C of this section has

1 been deposited to the funds therein specified,
2 the amount of revenue, if any, which would
3 otherwise be apportioned to the General Revenue
4 Fund and which exceeds the moving five-year
5 average amount for oil as defined pursuant to
6 paragraph 2 of subsection A of this section,

- 7 b. before any other apportionment of revenue has been
8 made pursuant to this paragraph, twenty-two and one-
9 half percent (22.5%) shall be paid to the State
10 Treasurer to be placed in the Common Education
11 Technology Revolving Fund created in Section 34.90 of
12 Title 62 of the Oklahoma Statutes,
- 13 c. before any other apportionment of revenue has been
14 made pursuant to this paragraph, twenty-two and one-
15 half percent (22.5%) shall be paid to the State
16 Treasurer to be placed in the Higher Education Capital
17 Revolving Fund created in Section 34.91 of Title 62 of
18 the Oklahoma Statutes,
- 19 d. before any other apportionment of revenue has been
20 made pursuant to this paragraph, twenty-two and one-
21 half percent (22.5%) shall be paid to the State
22 Treasurer to be placed in the Oklahoma Student Aid
23 Revolving Fund created in Section 34.92 of Title 62 of
24 the Oklahoma Statutes,

e. before any other apportionment of revenue has been made pursuant to this paragraph, three and twenty-eight one-hundredths percent (3.28%) shall be distributed to the various counties of the state for deposit into the County Bridge and Road Improvement Fund of each county based on a formula developed by the Department of Transportation and approved by the Department of Transportation County Advisory Board created pursuant to Section 302.1 of Title 69 of the Oklahoma Statutes to be used for the purposes set forth in the County Bridge and Road Improvement Act. The formula shall be similar to the formula currently used for the distribution of monies in the County Bridge Program funds, but shall also take into consideration the effect of the terrain and traffic volume as related to county road improvement and maintenance costs,

f. before any other apportionment of revenue has been made pursuant to this paragraph, three and seventy-five one-hundredths percent (3.75%) shall be paid to the State Treasurer to be apportioned to:

(1) the following sources and in the following amounts through the fiscal year ending June 30, 2027:

1 (a) thirty-three and one-third percent (33 1/3%)
2 to the Oklahoma Tourism and Recreation
3 Department Capital Expenditure Revolving
4 Fund created pursuant to Section 2254.1 of
5 Title 74 of the Oklahoma Statutes,

6 (b) thirty-three and one-third percent (33 1/3%)
7 to the Oklahoma Conservation Commission
8 Infrastructure Revolving Fund created
9 pursuant to Section 3-2-110 of Title 27A of
10 the Oklahoma Statutes, and

11 (c) thirty-three and one-third percent (33 1/3%)
12 to the Community Water Infrastructure
13 Development Revolving Fund created pursuant
14 to Section 1085.7A of Title 82 of the
15 Oklahoma Statutes, and

16 (2) the Oklahoma Water Resources Board Rural Economic
17 Action Plan Water Projects Fund for the fiscal
18 year beginning July 1, 2027, and for each fiscal
19 year thereafter,

20 g. before any other apportionment of revenue has been
21 made pursuant to this paragraph, twelve and one-half
22 percent (12.5%) of the sum collected from oil shall be
23 paid to the various county treasurers, to be credited
24 to the County Highway Fund as follows: Each county

1 shall receive a proportionate share of the funds
2 available based upon the proportion of the total value
3 of production from such county in the corresponding
4 month of the preceding year,

5 h. before any other apportionment of revenue has been
6 made pursuant to this paragraph, twelve and one-half
7 percent (12.5%) shall be allocated to each county as
8 provided in subparagraph g of this paragraph and shall
9 be apportioned on an average daily attendance per
10 capita distribution basis, as certified by the State
11 Superintendent of Public Instruction, to the school
12 districts of the county where such pupils attend
13 school regardless of residence of such pupil, provided
14 the school district makes an ad valorem tax levy of
15 fifteen (15) mills for the current year and maintains
16 twelve (12) years of instruction, and

17 i. before any other apportionment of revenue has been
18 made pursuant to this paragraph, forty-seven one-
19 hundredths percent (0.47%) of the levy shall be
20 transmitted by the Tax Commission to the Statewide
21 Circuit Engineering District Revolving Fund as created
22 in Section 687.2 of Title 69 of the Oklahoma Statutes;
23
24

1 8. For all monies collected from the tax levied on oil at a tax
2 rate of one percent (1%) pursuant to the provisions of subsection B
3 of Section 1001 of this title:

4 a. fifty percent (50%) of the sum collected shall be paid
5 to the various county treasurers, to be credited to
6 the County Highway Fund as follows: Each county shall
7 receive a proportionate share of the funds available
8 based upon the proportion of the total value of
9 production from such county in the corresponding month
10 of the preceding year, and

11 b. fifty percent (50%) shall be allocated to each county
12 as provided for in subparagraph a of this paragraph
13 and shall be apportioned on an average daily
14 attendance per capita distribution basis, as certified
15 by the State Superintendent of Public Instruction, to
16 the school districts of the county where such pupils
17 attend school regardless of residence of such pupil,
18 provided the school district makes an ad valorem tax
19 levy of fifteen (15) mills for the current year and
20 maintains twelve (12) years of instruction;

21 9. For all monies collected from the tax levied on oil at a tax
22 rate of two percent (2%) pursuant to the provisions of paragraph 3
23 of subsection B of Section 1001 of this title:

1 a. there shall be apportioned from the gross production
2 tax levy imposed pursuant to Section 1001 of this
3 title on oil:

4 (1) seventy-five percent (75%) to the Revenue

5 Stabilization Fund created by Section 34.102 of
6 Title 62 of the Oklahoma Statutes, the amount of
7 revenue, if any, which exceeds the moving five-
8 year average amount for oil as defined pursuant
9 to paragraph 2 of subsection A of this section,
10 and

11 (2) twenty-five percent (25%) to the Taxpayer

12 Endowment Trust Fund created by Section 3 of this
13 act, the amount of revenue, if any, which exceeds
14 the moving five-year average amount for oil as
15 defined pursuant to paragraph 2 of subsection A
16 of this section,

17 b. until the apportionment to the General Revenue Fund
18 equals the moving five-year average amount for oil as
19 prescribed by paragraph 2 of subsection A of this
20 section, fifty percent (50%) shall be paid to the
21 State Treasurer to be placed in the General Revenue
22 Fund of the state and used for the general expense of
23 state government, to be paid out pursuant to direct
24 appropriation by the Legislature,

- 1 c. before any other apportionment of revenue has been
2 made pursuant to this paragraph, twenty-five percent
3 (25%) of the sum collected from oil shall be paid to
4 the various county treasurers, to be credited to the
5 County Highway Fund as follows: Each county shall
6 receive a proportionate share of the funds available
7 based upon the proportion of the total value of
8 production from such county in the corresponding month
9 of the preceding year, and
- 10 d. before any other apportionment of revenue has been
11 made pursuant to this paragraph, twenty-five percent
12 (25%) shall be allocated to each county as provided in
13 subparagraph c of this paragraph and shall be
14 apportioned on an average daily attendance per capita
15 distribution basis, as certified by the State
16 Superintendent of Public Instruction, to the school
17 districts of the county where such pupils attend
18 school regardless of residence of such pupil, provided
19 the school district makes an ad valorem tax levy of
20 fifteen (15) mills for the current year and maintains
21 twelve (12) years of instruction;

22 10. On or after June 28, 2018 and before July 1, 2025, the
23 gross production tax levied on natural gas or casinghead gas at the
24

1 rate of five percent (5%) provided for in paragraph 3 of subsection
2 B of Section 1001 of this title shall be apportioned as follows:

3 a. after the total revenue apportioned to the General
4 Revenue Fund as prescribed by subparagraph b of this
5 paragraph equals the moving five-year average amount
6 for gas as defined by paragraph 1 of subsection A of
7 this section, there shall be apportioned from the
8 gross production tax levy imposed pursuant to Section
9 1001 of this title on natural gas and/or casinghead
10 gas:

11 (1) seventy-five percent (75%) to the Revenue
12 Stabilization Fund created pursuant to Section
13 34.102 of Title 62 of the Oklahoma Statutes, the
14 amount of revenue, if any, which exceeds the
15 moving five-year average amount for gas as
16 defined pursuant to paragraph 1 of subsection A
17 of this section, and

18 (2) twenty-five percent (25%) to the Taxpayer
19 Endowment Trust Fund created by Section 3 of this
20 act, the amount of revenue, if any, which exceeds
21 the moving five-year average amount for gas as
22 defined pursuant to paragraph 1 of subsection A
23 of this section,

1 b. until the apportionment to the General Revenue Fund
2 equals the moving five-year average amount for gas as
3 prescribed by paragraph 1 of subsection A of this
4 section, eighty percent (80%) shall be paid to the
5 State Treasurer of the state to be placed in the
6 General Revenue Fund of the state and used for the
7 general expense of state government, to be paid out
8 pursuant to direct appropriation by the Legislature,

9 c. before any other apportionment of revenue has been
10 made pursuant to this paragraph, ten percent (10%) of
11 the sum collected from natural gas and/or casinghead
12 gas shall be paid to the various county treasurers to
13 be credited to the County Highway Fund as follows:
14 Each county shall receive a proportionate share of the
15 funds available based upon the proportion of the total
16 value of production from such county in the
17 corresponding month of the preceding year,

18 d. before any other apportionment of revenue has been
19 made pursuant to this paragraph, ten percent (10%)
20 shall be allocated to each county as provided for in
21 subparagraph c of this paragraph and shall be
22 apportioned, on an average daily attendance per capita
23 distribution basis, as certified by the State
24 Superintendent of Public Instruction to the school

1 districts of the county where such pupils attend
2 school regardless of residence of such pupil, provided
3 the school district makes an ad valorem tax levy of
4 fifteen (15) mills for the current year and maintains
5 twelve (12) years of instruction;

6 11. Beginning July 1, 2025, the gross production tax levied on
7 natural gas or casinghead gas at the rate of five percent (5%)
8 provided for in paragraph 3 of subsection B of Section 1001 of this
9 title shall be apportioned as follows:

10 a. after the total revenue apportioned to the General
11 Revenue Fund as prescribed by subparagraph b of this
12 paragraph equals the moving five-year average amount
13 for gas as defined by paragraph 1 of subsection A of
14 this section, there shall be apportioned from the
15 gross production tax levy imposed pursuant to Section
16 1001 of this title on natural gas and/or casinghead
17 gas:

18 (1) seventy-five percent (75%) to the Revenue
19 Stabilization Fund created pursuant to Section
20 34.102 of Title 62 of the Oklahoma Statutes, the
21 amount of revenue, if any, which exceeds the
22 moving five-year average amount for gas as
23 defined pursuant to paragraph 1 of subsection A
24 of this section, and

1 (2) twenty-five percent (25%) to the Taxpayer
2 Endowment Trust Fund created by Section 3 of this
3 act, the amount of revenue, if any, which exceeds
4 the moving five-year average amount for gas as
5 defined pursuant to paragraph 1 of subsection A
6 of this section,

7 b. until the apportionment to the General Revenue Fund
8 equals the moving five-year average amount for gas as
9 prescribed by paragraph 1 of subsection A of this
10 section, forty percent (40%) shall be paid to the
11 State Treasurer of the state to be placed in the
12 General Revenue Fund of the state and used for the
13 general expense of state government, to be paid out
14 pursuant to direct appropriation by the Legislature,

15 c. before any other apportionment of revenue has been
16 made pursuant to this paragraph, ten percent (10%) of
17 the sum collected from natural gas and/or casinghead
18 gas shall be paid to the various county treasurers to
19 be credited to the County Highway Fund as follows:
20 Each county shall receive a proportionate share of the
21 funds available based upon the proportion of the total
22 value of production from such county in the
23 corresponding month of the preceding year,

- d. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction, and
- e. before any other apportionment of revenue has been made pursuant to this paragraph, forty percent (40%) shall be remitted to the State Treasurer to be credited to the Preserving and Advancing County Transportation Fund created in Section ~~4~~ 508 of ~~this act~~ Title 69 of the Oklahoma Statutes, but in no event shall the total amount apportioned in any fiscal year pursuant to this subparagraph exceed Seventy-five Million Dollars (\$75,000,000.00). Any amounts in excess of Seventy-five Million Dollars (\$75,000,000.00) shall be placed in the General Revenue Fund of the state and used for the general

1 expense of state government, to be paid out pursuant
2 to direct appropriation by the Legislature; and

3 12. On or after June 28, 2018, the gross production tax on oil
4 levied at the rate of five percent (5%) provided for in paragraph 3
5 of subsection B of Section 1001 of this title shall be apportioned
6 as follows:

7 a. there shall be apportioned from the gross production
8 tax levy imposed pursuant to Section 1001 of this
9 title on oil:

10 (1) seventy-five percent (75%) to the Revenue
11 Stabilization Fund created by Section 34.102 of
12 Title 62 of the Oklahoma Statutes, after the
13 applicable maximum amount prescribed by
14 subsection C of this section has been deposited
15 to the funds therein specified, the amount of
16 revenue, if any, which would otherwise be
17 apportioned to the General Revenue Fund and which
18 exceeds the moving five-year average amount for
19 oil as defined pursuant to paragraph 2 of
20 subsection A of this section, and

21 (2) twenty-five percent (25%) to the Taxpayer
22 Endowment Trust Fund created by Section 3 of this
23 act, after the applicable maximum amount
24 prescribed by subsection C of this section has

1 been deposited to the funds therein specified,
2 the amount of revenue, if any, which would
3 otherwise be apportioned to the General Revenue
4 Fund and which exceeds the moving five-year
5 average amount for oil as defined pursuant to
6 paragraph 2 of subsection A of this section,

7 b. before any other apportionment of revenue has been
8 made pursuant to this paragraph, twenty-three and
9 seventy-five one-hundredths percent (23.75%) shall be
10 paid to the State Treasurer to be placed in the Common
11 Education Technology Revolving Fund created in Section
12 34.90 of Title 62 of the Oklahoma Statutes,

13 c. before any other apportionment of revenue has been
14 made pursuant to this paragraph, twenty-three and
15 seventy-five one-hundredths percent (23.75%) shall be
16 paid to the State Treasurer to be placed in the Higher
17 Education Capital Revolving Fund created in Section
18 34.91 of Title 62 of the Oklahoma Statutes,

19 d. before any other apportionment of revenue has been
20 made pursuant to this paragraph, twenty-three and
21 seventy-five one-hundredths percent (23.75%) shall be
22 paid to the State Treasurer to be placed in the
23 Oklahoma Student Aid Revolving Fund created in Section
24 34.92 of Title 62 of the Oklahoma Statutes,

- e. before any other apportionment of revenue has been made pursuant to this paragraph, three and twenty-eight one-hundredths percent (3.28%) shall be distributed to the various counties of the state for deposit into the County Bridge and Road Improvement Fund of each county based on a formula developed by the Department of Transportation and approved by the Department of Transportation County Advisory Board created pursuant to Section 302.1 of Title 69 of the Oklahoma Statutes to be used for the purposes set forth in the County Bridge and Road Improvement Act. The formula shall be similar to the formula currently used for the distribution of monies in the County Bridge Program funds, but shall also take into consideration the effect of the terrain and traffic volume as related to county road improvement and maintenance costs,
- f. before any other apportionment of revenue has been made pursuant to this paragraph, five percent (5%) shall be paid to the State Treasurer to be apportioned to:
- (1) the following sources and in the following amounts through the fiscal year ending June 30, 2027:

1 (a) thirty-three and one-third percent (33 1/3%)
2 to the Oklahoma Tourism and Recreation
3 Department Capital Expenditure Revolving
4 Fund created pursuant to Section 2254.1 of
5 Title 74 of the Oklahoma Statutes,

6 (b) thirty-three and one-third percent (33 1/3%)
7 to the Oklahoma Conservation Commission
8 Infrastructure Revolving Fund created
9 pursuant to Section 3-2-110 of Title 27A of
10 the Oklahoma Statutes, and

11 (c) thirty-three and one-third percent (33 1/3%)
12 to the Community Water Infrastructure
13 Development Revolving Fund created pursuant
14 to Section 1085.7A of Title 82 of the
15 Oklahoma Statutes, and

16 (2) the Oklahoma Water Resources Board Rural Economic
17 Action Plan Water Projects Fund for the fiscal
18 year beginning July 1, 2027, and for each fiscal
19 year thereafter,

20 g. before any other apportionment of revenue has been
21 made pursuant to this paragraph, ten percent (10%) of
22 the sum collected from oil shall be paid to the
23 various county treasurers, to be credited to the
24 County Highway Fund as follows: Each county shall

1 receive a proportionate share of the funds available
2 based upon the proportion of the total value of
3 production from such county in the corresponding month
4 of the preceding year,

5 h. before any other apportionment of revenue has been
6 made pursuant to this paragraph, ten percent (10%)
7 shall be allocated to each county as provided in
8 subparagraph g of this paragraph and shall be
9 apportioned on an average daily attendance per capita
10 distribution basis, as certified by the State
11 Superintendent of Public Instruction, to the school
12 districts of the county where such pupils attend
13 school regardless of residence of such pupil, provided
14 the school district makes an ad valorem tax levy of
15 fifteen (15) mills for the current year and maintains
16 twelve (12) years of instruction, and

17 i. before any other apportionment of revenue has been
18 made pursuant to this paragraph, forty-seven one-
19 hundredths percent (0.47%) of the levy shall be
20 transmitted by the Tax Commission to the Statewide
21 Circuit Engineering District Revolving Fund as created
22 in Section 687.2 of Title 69 of the Oklahoma Statutes.

23 C. Provided, notwithstanding any other provision of this
24 section, the total amounts deposited to the Common Education

1 Technology Revolving Fund, the Higher Education Capital Revolving
2 Fund, the Oklahoma Student Aid Revolving Fund, the Rural Economic
3 Action Plan Water Projects Fund, the Oklahoma Tourism and Recreation
4 Department Capital Expenditure Revolving Fund, the Oklahoma
5 Conservation Commission Infrastructure Revolving Fund and the
6 Community Water Infrastructure Development Revolving Fund pursuant
7 to paragraphs 6, 7 and 11 of subsection B of this section shall not
8 exceed One Hundred Fifty Million Dollars (\$150,000,000.00) in any
9 fiscal year. Except as otherwise provided in this subsection, all
10 sums in excess of One Hundred Fifty Million Dollars
11 (\$150,000,000.00) in any fiscal year which would otherwise be
12 deposited in such funds shall be apportioned by the Oklahoma Tax
13 Commission to the General Revenue Fund of the state.

14 SECTION 12. AMENDATORY 68 O.S. 2021, Section 2352, is
15 amended to read as follows:

16 Section 2352. It is hereby declared to be the purpose of
17 Section 2351 et seq. of this title to provide revenue for general
18 governmental functions of state government; and, for that purpose
19 and to that end, it is expressly declared that the revenue derived
20 herefrom and penalties and interest thereon, subject to the
21 apportionment requirements for the Rebuilding Oklahoma Access and
22 Driver Safety Fund, the Oklahoma Tourism and Passenger Rail
23 Revolving Fund, the Public Transit Revolving Fund and the Education
24 Reform Revolving Fund to be derived from income tax revenue that

1 would otherwise be apportioned to the General Revenue Fund as
2 provided by Section 1521 of Title 69 of the Oklahoma Statutes,
3 subject to the apportionment requirements for the Oklahoma Tax
4 Commission and Office of Management and Enterprise Services Joint
5 Computer Enhancement Fund provided by Section 265 of this title, and
6 subject to the apportionment requirements for the Oklahoma State
7 Capitol Building Repair and Restoration Fund provided by Section 19
8 of Title 73 of the Oklahoma Statutes, shall be distributed as
9 follows:

10 1. For the fiscal year beginning July 1, 2002, the first Five
11 Million Eight Hundred Thousand Dollars (\$5,800,000.00) of revenue
12 derived pursuant to the provisions of subsections A, B and E of
13 Section 2355 of this title shall be apportioned to the Education
14 Reform Revolving Fund. The remainder of such revenue for the fiscal
15 year beginning July 1, 2002, and all such revenue for each fiscal
16 year thereafter shall be apportioned monthly as follows:

17 a. the following amounts shall be paid to the State
18 Treasurer to be placed to the credit of the General
19 Revenue Fund of the state for such fiscal year for the
20 support of the state government to be paid out only
21 pursuant to appropriation by the Legislature:

22	Fiscal Year	Amount
23	FY 2003 and FY 2004	87.12%
24	FY 2005	86.91%

FY 2006	86.66%
FY 2007	86.16%
FY 2008 through FY 2022	85.66%
FY 2023 through FY 2027	85.41%
FY 2028 and each fiscal year thereafter	85.66%

Of the funds apportioned to the General Revenue Fund pursuant to this subparagraph, until the expiration of the Filmed in Oklahoma Act of 2021 as provided in Section 11 of this act, Thirty Million Dollars (\$30,000,000.00) shall be transferred to the Oklahoma Tax Commission for deposit in the Filmed in Oklahoma Program Revolving Fund,

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, eight and thirty-four one-hundredths percent (8.34%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020, through the month ending August 31, 2020, eight and thirty-four one-hundredths percent (8.34%), and

(b) for the month beginning September 1, 2020,
through the month ending June 30, 2021, nine
and eighty-four one-hundredths percent
(9.84%),

(3) for FY 2022 and each fiscal year thereafter,
eight and thirty-four one-hundredths percent
(8.34%) shall be paid to the State Treasurer to
be placed to the credit of the Education Reform
Revolving Fund,

c. the following amounts shall be paid to the State
Treasurer to be placed to the credit of the Teachers'
Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
(1) for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%

(2)	for the month beginning	
	September 1, 2020,	
	through the month ending	
	June 30, 2021	3.5%
FY 2022		5.0%
FY 2023 through FY 2027		5.25%
FY 2028 and each fiscal		
year thereafter		5.0%

d. for FY 2003 and each fiscal year thereafter, one percent (1%) shall be placed to the credit of the Ad Valorem Reimbursement Fund;

2. Beginning July 1, 2003, for any period of time as certified by the Oklahoma Development Finance Authority and the Oklahoma Department of Commerce to be necessary for the repayment of obligations issued by the Oklahoma Development Finance Authority pursuant to Section 3654 of this title if the other sources of revenue paid to or apportioned to the Quality Jobs Program Incentive Leverage Fund are not adequate including the proceeds from payment pursuant to the guaranty required by subsection M of Section 3654 of this title, an amount certified by the Oklahoma Development Finance Authority to the Oklahoma Tax Commission shall be apportioned to the Quality Jobs Program Incentive Leverage Fund before any other apportionments are made as otherwise authorized by this paragraph. The Oklahoma Development Finance Authority shall certify to the

1 Oklahoma Tax Commission the time as of which the revenue authorized
2 for apportionment pursuant to this paragraph is no longer required.
3 After the certification, the revenue derived from the income tax
4 shall be apportioned in the manner otherwise provided by this
5 section. Except as otherwise provided by this paragraph, for the
6 fiscal year beginning July 1, 2002, the first Forty-one Million One
7 Hundred Ninety Thousand Eight Hundred Dollars (\$41,190,800.00) of
8 revenue derived pursuant to the provisions of subsections D and E of
9 Section 2355 of this title shall be apportioned to the Education
10 Reform Revolving Fund. The remainder of such revenue for the fiscal
11 year beginning July 1, 2002, and all such revenue for each fiscal
12 year thereafter, subject to the apportionment requirements for the
13 Oklahoma Tax Commission and Office of Management and Enterprise
14 Services Joint Computer Enhancement Fund provided by Section 265 of
15 this title, shall be apportioned monthly as follows:

16 a. the following amounts shall be paid to the State
17 Treasurer to be placed to the credit of the General
18 Revenue Fund of the state for such fiscal year for the
19 support of the state government to be paid out only
20 pursuant to appropriation by the Legislature:

21	Fiscal Year	Amount
22	FY 2003 and FY 2004	78.96%
23	FY 2005	78.75%
24	FY 2006	78.50%

1	FY 2007	78.0%
2	(1) (a) FY 2018 through FY 2022	
3	until the apportionment to	
4	the General Revenue Fund	
5	equals the moving five-	
6	year average amount for	
7	corporate income tax as	
8	prescribed by paragraph 3	
9	of this section	77.50%
10	(b) FY 2023 through FY 2027	
11	until the apportionment to	
12	the General Revenue Fund	
13	equals the moving five-	
14	year average amount for	
15	corporate income tax as	
16	prescribed by paragraph 3	
17	of this section	77.25%
18	(c) FY 2028 and each fiscal	
19	year thereafter until the	
20	apportionment to the	
21	General Revenue Fund	
22	equals the moving five-	
23	year average amount for	
24	corporate income tax as	

prescribed by paragraph 3

of this section 77.50%

(2) there shall be apportioned from the tax levy imposed on corporate income tax:

(a) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, ~~or to the Constitutional Reserve Fund, as provided by Section 34.102 of Title 62 of the Oklahoma Statutes,~~ of the amount of revenue, if any, which exceeds the moving five-year average amount as defined pursuant to paragraph 3 of this section, and

(b) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, of the amount of revenue, if any, which exceeds the moving five-year average amount as defined pursuant to paragraph 3 of this section,

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, sixteen and five-tenths percent (16.5%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020, through the month ending August 31, 2020, sixteen and five-tenths percent (16.5%), and

(b) for the month beginning September 1, 2020, through the month ending June 30, 2021, eighteen percent (18%),

(3) for FY 2022, and each fiscal year thereafter, sixteen and five-tenths percent (16.5%),

c. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	

(1) for the month beginning July 1, 2020, through

1	the month ending August	
2	31, 2020	5.0%
3	(2) for the month beginning	
4	September 1, 2020,	
5	through the month ending	
6	June 30, 2021	3.5%
7	FY 2022	5.0%
8	FY 2023 through FY 2027	5.25%
9	FY 2028 and each fiscal	
10	year thereafter	5.0%
11	d. for FY 2003 and each fiscal year thereafter, one	
12	percent (1%) shall be placed to the credit of the Ad	
13	Valorem Reimbursement Fund; and	

14 3. "Moving five-year average for corporate income tax" means,
15 for purposes of the apportionments prescribed by this section, the
16 amount of income tax on corporations, as determined by the State
17 Board of Equalization in the manner prescribed by Section 34.103 of
18 Title 62 of the Oklahoma Statutes.

19 SECTION 13. The provisions of this act are severable and if any
20 part or provision shall be held void the decision of the court so
21 holding shall not affect or impair any of the remaining parts or
22 provisions of this act.

23 SECTION 14. This act shall become effective July 1, 2026.

24

SECTION 15. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

COMMITTEE REPORT BY: COMMITTEE ON JOINT COMMITTEE ON APPROPRIATIONS AND BUDGET, dated 04/13/2026 - DO PASS, As Amended.